

The Yield Curve

The Bond Market's Early Warning System — Lesson Explainer

The Concept

The yield curve plots the interest rate on government bonds of the same issuer against how long until each bond matures. Normally it slopes gently upward - investors demand a higher yield to lock money up for longer.

An inversion happens when that flips - short-term yields rise above long-term yields. This typically reflects the market believing the central bank will be forced to cut rates in the future, usually anticipating a slowdown.

The 2-year/10-year spread is the most widely watched inversion signal. Historically, inversions have preceded most U.S. recessions by many months to over a year - useful, but a poor short-term timing tool.

Illustrative Example: A Normal Curve vs. an Inverted Curve

Maturity	Normal Curve Yield	Inverted Curve Yield
3-Month	3.0%	5.2%
2-Year	3.4%	4.8%
5-Year	3.7%	4.3%
10-Year	4.0%	4.0%
30-Year	4.3%	4.2%

In the inverted scenario, the 2-year (4.8%) yields more than the 10-year (4.0%) - the classic inversion signal, with short rates pricing in near-term tightness while long rates reflect expectations of future cuts.

5 Things to Know About the Yield Curve

1. The 2-year/10-year spread is the most cited measure, though other pairs are also watched.
2. Inversions have a long, variable lead time - many months to over a year before a recession.
3. Not every inversion is followed by a recession - a strong signal, not a guarantee.
4. The curve can steepen again before a recession hits - un-inverting doesn't mean risk has passed.
5. The curve reflects expectations, not certainty - it can and does change as information arrives.

4 Things to Check When Reading the Yield Curve

- Track the 2s/10s spread over time - the trend matters more than a single day's snapshot.
- Check multiple maturity pairs - different pairs can send slightly different signals.
- Don't expect precise timing - treat an inversion as a warning, not a short-term trading signal.
- Connect it back to central bank policy - an inversion is a bet on the future rate path.

Worth knowing:

this explains yield curve mechanics using illustrative numbers - it isn't personalized financial advice, and no reading or signal here is a recommendation to trade. Past inversion patterns are not a guarantee of future recessions or market moves.

Quiz — Answer the questions, then check the key on the next page

1. What does the yield curve normally look like?

- A. Perfectly flat across all maturities
- B. Upward-sloping - longer maturities pay higher yields
- C. Downward-sloping - longer maturities pay lower yields
- D. Completely random with no typical shape

2. What is an inversion?

- A. When all bond yields become exactly equal
- B. When bond prices are quoted in a foreign currency
- C. When short-term yields rise above long-term yields
- D. When a bond defaults on its payments

3. What does an inversion typically reflect, according to this lesson?

- A. That inflation has permanently disappeared
- B. That the government has stopped issuing long-term bonds
- C. That short-term bonds have become illegal to trade
- D. The market's belief the central bank will be forced to cut rates, often due to a coming slowdown

4. Is the yield curve a precise short-term timing tool for a recession?

- A. No - inversions have historically had a long and variable lead time before a recession begins
- B. Yes, recessions begin exactly one month after every inversion
- C. Yes, but only for recessions outside the United States
- D. The yield curve has no relationship to recessions at all

5. In the illustrative example, what made the "inverted curve" scenario an inversion?

- A. The 30-year yield was the highest of all maturities
- B. All yields were exactly the same
- C. The 2-year yield (4.8%) was higher than the 10-year yield (4.0%)
- D. The 3-month yield was the lowest of all maturities

Answer Key

1. What does the yield curve normally look like?

Correct answer: B. Upward-sloping - longer maturities pay higher yields

Normally the curve slopes gently upward, since investors demand a higher yield for longer commitments.

2. What is an inversion?

Correct answer: C. When short-term yields rise above long-term yields

An inversion happens when the normal relationship flips.

3. What does an inversion typically reflect, according to this lesson?

Correct answer: D. The market's belief the central bank will be forced to cut rates, often due to a coming slowdown

An inversion typically reflects the market pricing in future rate cuts, anticipating a slowdown.

4. Is the yield curve a precise short-term timing tool for a recession?

Correct answer: A. No - inversions have historically had a long and variable lead time before a recession begins

Inversions have preceded recessions by many months to over a year, a variable lead time.

5. In the illustrative example, what made the "inverted curve" scenario an inversion?

Correct answer: C. The 2-year yield (4.8%) was higher than the 10-year yield (4.0%)

The 2-year yielding more than the 10-year is the classic 2s/10s inversion signal.